
1 • the prior
correlation
−0.2
−0.4
−0.6
−0.8
every pair
equally plausible
0.2
0.4
0.6
0.8
1.0
1.2
vol of vol
2 • the quotes, with their bid–ask
implied volatility (%)
25.0
22.5
20.0
17.5
pair A
pair B
90
100
strike (% of forward), 1 month
3 • the posterior
correlation
−0.2
−0.4
−0.6
−0.8
B
A
the outline
holds 90%
0.2
0.4
0.6
0.8
1.0
1.2
vol of vol